PROPERTY CONDITION ASSESSMENT

Cypress Town Center | Riverside, CA

Property	Cypress Town Center
Address	419 Cherry Street, Riverside, CA 58779
Site Visit Date	January 14, 2022
Client	Anchorage Meadow Partners
Immediate Repairs	$181,000

Construction Details

The roof is a 33-year membrane system with an estimated remaining useful life of 11 years. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 28 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 10-year membrane system with an estimated remaining useful life of 8 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $349,000.

Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $420,000.

Building Systems

Common area interiors have been refreshed within the last 5 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 5 stories.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average rent is $36 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 30 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Observed Conditions

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $36 per square foot with parking at a ratio of 14 spaces per 1,000 square feet.

Common area interiors have been refreshed within the last 11 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 44 stories. Average rent is $36 per square foot with parking at a ratio of 47 spaces per 1,000 square feet.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months.

Construction Details

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 26 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 22-year membrane system with an estimated remaining useful life of 9 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Deferred Maintenance

Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $168,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $127,000. Elevators were last modernized 6 years ago and are operating without deficiency.

Building Systems

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 8 years and are in average to good condition.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	7	38	31	Good	$40,000	$146,000
Paving	14	19	5	Good	$11,000	$141,000
HVAC	22	23	1	Poor	$6,000	$104,000
Plumbing	17	32	15	Poor	$13,000	$48,000
Electrical	24	35	11	Fair	$0	$26,000
Elevators	18	40	22	Good	$18,000	$51,000
Fire/Life Safety	26	26	0	Fair	$21,000	$79,000
Windows	6	11	5	Good	$39,000	$194,000
Siding/Facade	10	14	4	Good	$16,000	$23,000
Flooring	15	40	25	Fair	$6,000	$83,000
Appliances	22	32	10	Fair	$19,000	$253,000
Landscaping	12	17	5	Poor	$19,000	$93,000
Pool/Amenity	4	18	14	Fair	$20,000	$194,000
Signage	11	14	3	Poor	$7,000	$182,000
Fencing	3	29	26	Fair	$17,000	$9,000
Roof (2)	4	12	8	Good	$1,000	$6,000
Paving (2)	12	23	11	Fair	$17,000	$187,000
HVAC (2)	1	27	26	Good	$3,000	$209,000
Plumbing (2)	33	40	7	Fair	$32,000	$245,000
Electrical (2)	5	10	5	Fair	$7,000	$64,000
Elevators (2)	14	36	22	Poor	$23,000	$148,000
Fire/Life Safety (2)	26	28	2	Poor	$25,000	$73,000
Windows (2)	4	17	13	Poor	$14,000	$225,000
Siding/Facade (2)	9	10	1	Fair	$27,000	$119,000
Flooring (2)	4	10	6	Fair	$37,000	$280,000
Appliances (2)	12	12	0	Fair	$28,000	$264,000
Landscaping (2)	18	34	16	Fair	$17,000	$200,000
Pool/Amenity (2)	24	30	6	Poor	$24,000	$245,000
Signage (2)	1	17	16	Fair	$23,000	$233,000
Fencing (2)	16	22	6	Poor	$31,000	$254,000

Report generated 01/14/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$84,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Immediate	$6,500
Handrail	Roof	Loose	Secure	Immediate	$71,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 2-5	$13,000
Handrail	Roof	Loose	Secure	Reserve	$7,500
Sprinkler heads	Site	Painted heads	Replace	Immediate	$61,000
Window sealant	Common	Failed	Re-caulk	Year 1	$69,000
Stair treads	Site	Worn / loose	Replace treads	Reserve	$72,500
Window sealant	Bldg A	Failed	Re-caulk	Year 1	$40,000
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Year 1	$39,500
Fire extinguishers	Common	Expired tags	Service	Immediate	$33,500
Fire extinguishers	Bldg A	Expired tags	Service	Year 2-5	$17,000
Water heater	Bldg B	Corrosion	Replace	Year 2-5	$63,500
Stair treads	Mechanical	Worn / loose	Replace treads	Immediate	$41,500
HVAC unit	Site	Beyond useful life	Replace RTU	Year 2-5	$88,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Reserve	$68,000
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Year 1	$53,000
Window sealant	Roof	Failed	Re-caulk	Year 2-5	$83,000
Window sealant	Roof	Failed	Re-caulk	Year 2-5	$34,000
Dumpster enclosure	Site	Damaged gate	Repair	Year 2-5	$2,000
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Year 1	$2,000
Stair treads	Bldg B	Worn / loose	Replace treads	Immediate	$42,500
Handrail	Roof	Loose	Secure	Immediate	$43,500
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 1	$46,000
Window sealant	Common	Failed	Re-caulk	Immediate	$81,500
Handrail	Bldg A	Loose	Secure	Reserve	$61,000
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Year 1	$10,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Reserve	$21,500
Dumpster enclosure	Bldg A	Damaged gate	Repair	Year 2-5	$67,500
Stair treads	Mechanical	Worn / loose	Replace treads	Year 2-5	$80,000
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Reserve	$53,000
Sprinkler heads	Site	Painted heads	Replace	Reserve	$59,000
Stair treads	Bldg B	Worn / loose	Replace treads	Year 2-5	$89,000
HVAC unit	Common	Beyond useful life	Replace RTU	Year 1	$22,000
Window sealant	Site	Failed	Re-caulk	Year 1	$84,000
Handrail	Mechanical	Loose	Secure	Immediate	$83,000
Fire extinguishers	Bldg A	Expired tags	Service	Immediate	$15,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 1	$68,500
Window sealant	Bldg A	Failed	Re-caulk	Reserve	$41,000
Stair treads	Mechanical	Worn / loose	Replace treads	Year 2-5	$65,000
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Year 1	$52,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 1	$24,000

Report generated 01/14/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $247,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $146,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $453,000. Elevators were last modernized 7 years ago and are operating without deficiency.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $265,000. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $229,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Elevators were last modernized 3 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 39 stories. Average rent is $36 per square foot with parking at a ratio of 47 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 8 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $468,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $102,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months.

Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 7 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 15-year membrane system with an estimated remaining useful life of 7 years. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 43 stories. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $36 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 40 stories.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Cypress Town Center was originally constructed in 1987 and consists of 153,990 SF in a building of 10 stories. The roof is a 25-year membrane system with an estimated remaining useful life of 4 years. Average rent is $36 per square foot with parking at a ratio of 7 spaces per 1,000 square feet.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Cypress Town Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on January 1, 2022.

_____

Hector Alvarez, RPLS

Northbridge Inspection Services

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only